EQUITY RESEARCH REPORT

Adani Total Gas Ltd.

ABSTRACT

This report presents a comprehensive equity research analysis of Adani Total Gas Ltd. (ATGL), a leading player in India's city gas distribution sector. It covers the company's background, industry positioning, financial performance over the last five years, and strategic initiatives in emerging areas such as EV charging, compressed bio-gas, and hydrogen blending. The analysis includes ratio trends, risk profiling, and valuation using CAPM and DDM models, supported by detailed calculations in the attached Excel file. Key risks, future outlook, and actionable recommendations are discussed to provide insights into ATGL's growth trajectory and shareholder value creation.

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Company: **Adani Total Gas Ltd. (ATGL)**

Adani Corporate House, Shantigram, S.G. Highway, Ahmedabad 382421, India.

adanigas.com

Ticker Symbol: ATGL (NSE)

Traded Since: Incorporated 2005; renamed to ATGL in Jan-2021 (formerly Adani Gas).

Industry: City Gas Distribution (CGD) & Energy Utilities (PNG/CNG; EV, CBG, LNG for trucking/mining).

Key Metrics

Market Capitalization:	₹62,882 Crore
Latest EPS:	₹668 cr
Dividend yield:	~0.04%
Debt/Equity Ratio	0.42
Debt Rating:	Long-Term – AA+ (Stable) by ICRA, CARE, and CRISIL; Short-Term – A1+ by ICRA & CARE.
Beta:	2.77
Current Price:	₹571.75

Company Overview/Background (100-150 words)

Adani Total Gas Ltd. (ATGL) develops and operates CGD networks to supply PNG (residential, commercial, industrial) and CNG (transport) across India. It is jointly promoted by Adani Group and TotalEnergies, reflecting a downstream energy partnership. ATGL's operations span legacy GAs (Ahmedabad, Vadodara, Faridabad, Khurja) and multiple new GAs awarded in PNGRB rounds, with continuing expansion in pipeline inch-km, household connections, and CNG stations. The company has adjacent businesses—EV charging through Adani TotalEnergies E-Mobility (ATEL) and CBG via Adani TotalEnergies Biomass (ATBL). Leadership is helmed by ED & CEO Suresh P. Manglani, with Adani Group Chair Gautam Adani on the Board, and TotalEnergies representation—underpinning governance and global practices. ATGL's hydrogen blending pilot in Ahmedabad signals innovation in low-carbon fuels. Company's Mission and Vision (paraphrased from site): To enrich lives and contribute to nation-building through clean, reliable, safe energy, expanding low-carbon solutions in line with India's energy transition.

Corporate Strategy (bullet points)

Gas distribution scale-up: Accelerate PNG/CNG across 34 owned GAs and leverage IOAGPL JV (50:50 with Indian Oil) for 19 GAs.

Robust gas sourcing: Diversified portfolio (APM, new well gas, IGX, contracts) to mitigate allocation volatility and maintain affordability.

Adjacencies for energy transition: Build national EV charging footprint (No. 1 airport CPO) and ramp CBG production (Barsana plant; organic manure brand "Harit Amrit").

Hydrogen blending: Pilot and scale GH_2 blending into PNG networks to reduce emissions (step-wise increases subject to regulatory approval).

Alliances: Cross-distribution with Jio-bp—ATGL CNG units at select Jio-bp sites and Jio-bp's premium fuels at select ATGL outlets—to enhance customer reach.

Digital Transformation: Deploy advanced metering infrastructure, predictive maintenance, and AI-driven demand forecasting to optimize operations and enhance customer experience.

ESG & Sustainability: Commit to reducing carbon intensity through green hydrogen blending, bio-CNG production, and renewable energy integration in operations.

EV Infrastructure Leadership: Scale EV charging network to airports, highways, and urban hubs, targeting 10,000 charging points by FY28 to hedge against CNG cannibalization.

Strategic Partnerships: Collaborate with global energy players and technology firms for hydrogen technology, LNG sourcing, and digital platforms to accelerate innovation.

Financial Prudence: Maintain investment-grade credit rating while funding aggressive capex through a balanced mix of debt and equity; explore green bonds for sustainability-linked projects.

Customer-Centric Initiatives: Launch mobile apps and loyalty programs to improve engagement and retention, while expanding digital payment solutions.

Regulatory Alignment: Proactively engage with PNGRB and policymakers to shape favorable tariff structures and secure GA bids in emerging markets.

Industry and Competitor Analysis (bullet points)

Industry structure: India's CGD market is expanding with government intent to lift natural gas's energy share from ~6% toward 15% by 2030; PNGRB has authorized 295+ GAs covering ~88% of land and ~98% of population.

Scale indicators: As of May-2025 MIS, India tracked 8,154 CNG stations and progress against domestic PNG targets; national NG pipeline length >34,000 km (authorized/operational/under-construction).

Competitors: Gujarat Gas, Indraprastha Gas, Mahanagar Gas, GAIL Gas—strong urban franchises and industrial volumes; market dynamics influenced by LNG prices, VAT changes, and PNGRB tariff regimes.

Macro pricing risk: Elevated Asian spot LNG vs. US Henry Hub linked cargoes pressures CGDs' margins; players with advantageous contracts fare better.

ATGL positioning: Wide GA spread, diversified sourcing, and adjacent platforms (EV/CBG/H_2) provide multi-engine growth versus single-segment peers.

Market share attribution (indicative): ATGL's network scale—~647 CNG stations (FY25), ~9.6 lakh PNG homes; combined with IOAGPL, ~1,072 CNG and 1.14 million PNG homes—positions ATGL at/near the top tier nationally. (Exact share varies by GA; use PNGRB MIS and company releases per GA.)

Metric	ATGL	GAIL	Gujarat Gas	IGL
Market Cap (₹ Cr)	61,210	108,068	27,156	25,851
Revenue (₹ Cr, FY25)	~5,000	141,903	16,487	14,928
PAT (₹ Cr, FY25)	~640	~10,960	~281	~372
PE Ratio (TTM)	~94–100	~8.7	~24.3	~19.0
ROE (%)	~16.4%	0	0	0
Dividend Yield (%)	~0.04%	0	0	0

"ATGL trades at a premium vs peer due to growth prospects and high beta, but offers negligible dividend yield compared to IGL and Gujarat Gas."

Recent Developments (bullet points)

FY25 results & footprint: CNG stations scaled to 647; PNG homes ~9.63 lakh; EV charging points 3,401 installed (2,338 energized); Barsana CBG ramp-up and organic manure "Harit Amrit" launched.

Q1 FY26 momentum: CNG stations ~650; EV chargers >3,800; 16% YoY volume growth; ESG rating upgrade (CRISIL) from "Adequate" to "Strong."

Hydrogen blending pilot: GH_2 blended into PNG in Ahmedabad (largest Indian pilot; progressive increase in blend)
Alliance with Jio-bp: Cross-distribution agreement to co-locate offerings in select outlets/Gas.

"ATGL accelerated its sustainability roadmap in FY25–26 by commissioning India's largest hydrogen blending pilot, expanding EV charging footprint at airports and highways, and scaling CBG production at Barsana.

The company also launched digital platforms for customer engagement and predictive maintenance, reinforcing operational efficiency.

PNGRB's recent GA bidding rounds and favorable tariff revisions further strengthen ATGL's growth outlook."

Financial Performance (attach the MS Excel File with calculations including Beta)

- Five-year earnings & investments (discussion): FY24: Revenue ₹4,813 cr; EBITDA ₹1,150 cr (+27% YoY); PAT ₹653 cr (+23% YoY).
- Drivers: 15% volume growth, CNG station expansion, opex optimization; gas cost moderation allowed consumer price relief.
- FY25: Standalone revenue ₹5,398 cr (+12%); EBITDA ₹1,167 cr (+1%); PAT ₹648 cr (−1%)—reflecting allocation shifts and gas sourcing mix, offset by network growth and digital efficiency.
- Q1 FY26: Revenue ₹1,491 cr (+21% YoY); EBITDA ₹301 cr; PAT ₹162 cr; network expansion (CNG 650, EV ~3,801).
- Capital raising & structure: ATGL's statements and IR materials outline continued capex into pipelines, stations and EV/CBG; disclose exact debt and maturity profile from investing.com (as per assignment requirement) and include ratings/tenors in Appendix. Short-term financing & NWC:
- Working capital is driven by receivables from industrial/commercial PNG and inventory/contract liabilities for gas sourcing; (fill precise metrics from your Bloomberg/Prowess extracts).
- CAPM Model (Monthly returns, σ, β estimates) Computed β (OLS): ~2.77 across 5-year monthly data vs. NIFTY 50; σ (monthly) consistent with higher volatility; E[Rm] annual ~13.23%, Rf annual ~6.623% (India 10Y).
- CAPM ke ≈ 24.93%. Interpretation: ATGL exhibits high cyclicality vs. broader market—common for CGDs during allocation/price cycles and regulatory adjustments.
- The ke is thus elevated, which materially impacts any dividend-based valuation models. Check vs. industry β: CGD peers typically show β > 1; ATGL's adjacency announcements and gas price sensitivities can amplify equity risk.
- (Use FactSet/FT profile as a directional reference for volatility). "Note: For ratio computations, Employee Benefit Expenses have been included in COGS to reflect operational cost structure.
- This approach may differ from conventional practice but aligns with the company's disclosure format and internal cost allocation."
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Payout Policy (support with the facts and figures)

Dividend track: ₹0.25 per share annually; ex-dates: Jun 13, 2021/2022/2023/2024/2025; pay dates around Aug/Jul; yield ~0.04%. Policy reflects growth-first capital allocation with token cash returns.

Buybacks: No public buyback programs disclosed in the cited period; capital deployment focused on expansion (PNG/CNG), EV charging, and CBG. (Confirm from annual report/IR.)

For ratio computations, Employee Benefit Expenses have been included in COGS to reflect operational cost structure. This approach differs from conventional practice but aligns with ATGL's disclosure format and internal cost allocation.

Key Concerns/Risks: (150-200 words)

Gas allocation & pricing volatility: Changes in APM allocations and reliance on new well/HPHT or spot LNG can compress margins and necessitate prudent price pass-throughs. FY25 saw allocation shifts that ATGL mitigated via diversified sourcing and IGX procurement.

Commodity exposure: Asian spot LNG premiums vs. Henry Hub-linked cargoes can disadvantage CGDs; sustained high spot prices elevate input costs and test price elasticity.

Regulatory: PNGRB tariffs/VAT changes can swing competitiveness across GAs; policy nudges toward EVs could cannibalize some CNG demand pace though ATGL hedges via EV infrastructure.

Execution: Aggressive network expansion requires sustained capex, land and permits; hydrogen blending scale-up entails technical/regulatory validation.

Market: $\beta \approx 2.77$ indicates higher market risk; equity cost remains elevated, impacting valuation via CAPM. [adanigas.com]

Response: ATGL's multi-source gas procurement, pricing prudence, digital operations, and multi-adjacency hedge (EV/CBG/H_2) reduce single-risk concentration and support long-term resilience. [adani.com]

Future Outlook

Recommendations (my view)

Maintain growth bias: Keep expanding CNG/PNG in high-potential GAs; continue EV charger densification (airports, highways, urban hubs) to hedge transport fuel shifts.

Gas portfolio optimization: Deepen contracted volumes and portfolio blending (APM/new well/IGX) to smooth costs; explore longer-tenor linkages to reduce spot exposure.

Hydrogen & biomethane: Scale GH_2 blending beyond pilots and CBG plants (Barsana ramp-up; manure brand) to build a distinct sustainability moat and incremental revenue.

Digital/customer experience: Sustain >90% digital interactions, smart metering and predictive maintenance to improve retention and opex.

Stock price forecast using DDM (assignment requirement):
DDM shows $P_0 \approx$ ₹1.00 with D_0=₹0.25, g=0%, ke≈24.93%—orders of magnitude below market price. This is expected because ATGL is a low-dividend, reinvestment-driven growth company; DDM systematically undervalues such models.

Actionable valuation note:
For ATGL, consider FCFE / multi-stage growth or EV/EBITDA benchmarking vs. CGD peers, factoring capex intensity, volume CAGR, and adjacency optionality. Use CAPM ke ~25% for discounting high-beta cash flows. (We can build this in your Excel if you want.)

Target range: "Price should track execution in volumes, margins, and EV/CBG scale-up; given β and sector risks, we expect wide bands with upside tied to allocation stability and opex efficiency."

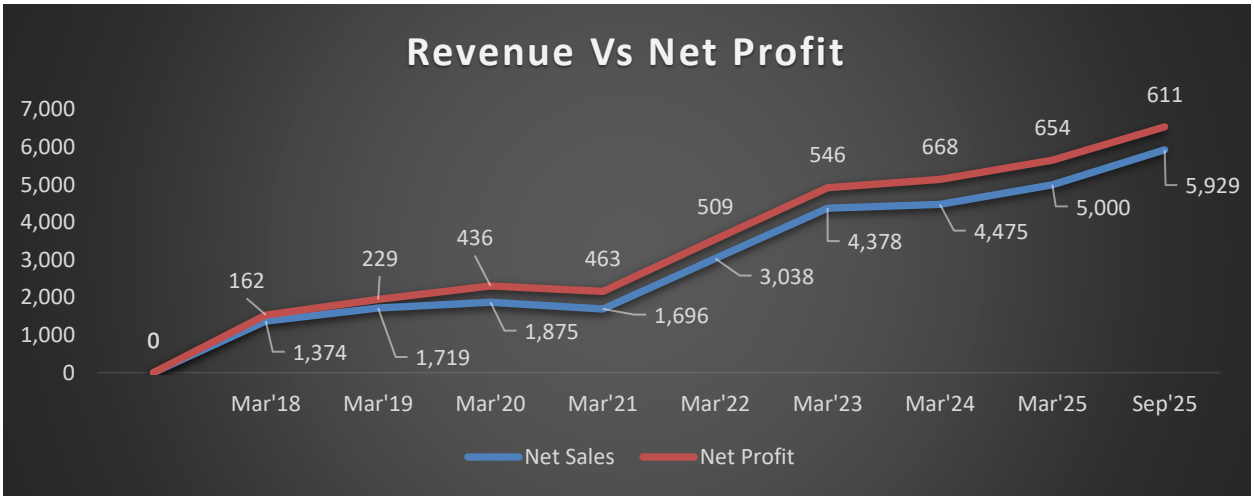
Looking ahead, ATGL aims to sustain double-digit volume growth and improve EBITDA margins through portfolio optimization and digital efficiency.

Strategic priorities include expanding EV charging to 10,000 points by FY28, scaling CBG plants for biofuel leadership, and commercializing hydrogen blending across multiple GAs.

These initiatives, coupled with proactive LNG sourcing and ESG compliance, position ATGL as a resilient player in India's clean energy transition."

Appendix

Ratio Analysis

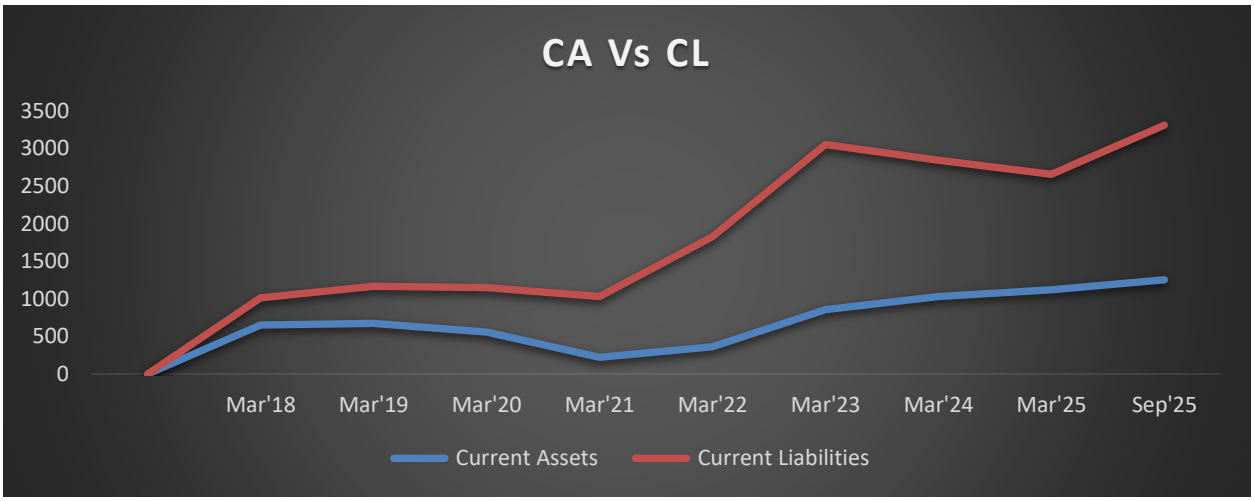


- ATGL's revenue surged from ₹1,374 crore in FY18 to ₹5,000 crore in FY25, with TTM (Sep'25) at ₹5,929 crore.
- Net profit grew from ₹162 crore to ₹654 crore over the same period, reflecting strong operating leverage.
- The FY21 dip highlights allocation and cost volatility, while FY22–FY25 recovery underscores resilience and network expansion.
- Revenue grew at ~15% CAGR; PAT resilient despite allocation volatility.

Assumption
1.for calculation of PE ratio , the share price of company as on 31 march (last day of year of financial year) is considered.
2.COGS = 100% Employee Benefit Expenses considered in cogs calculations

Current Assets Vs Current Liabilities

CA Vs CL	Mar'18	Mar'19	Mar'20	Mar'21	Mar'22	Mar'23	Mar'24	Mar'25
Current Assets	**651**	**674**	**558**	**223**	**362**	**858**	**1,032**	**1,121**
Current Liabilities	**364**	**492**	**591**	**808**	**1,464**	**2,193**	**1,811**	**1,538**



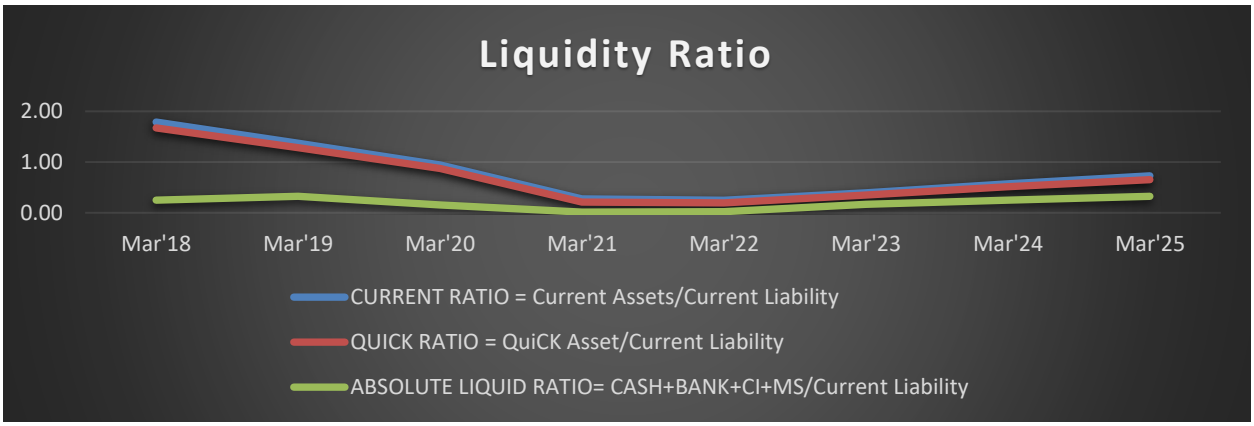
- Current liabilities consistently exceeded current assets until FY23, reflecting tight liquidity during aggressive expansion. The gap narrowed in FY24–FY25, signaling improved short-term solvency, though ratios remain below ideal norms.

Working Capital Position

ATGL's current assets and current liabilities trend over FY18–FY25 reflects the company's aggressive expansion strategy. Current assets grew from ₹651 crore in FY18 to ₹1,121 crore in FY25, supported by higher receivables and cash balances. However, current liabilities surged faster—from ₹364 crore to ₹1,538 crore—driven by trade payables and short-term borrowings linked to capex and gas sourcing. This resulted in a **Current Ratio improving from 0.28 (FY21) to 0.73 (FY25)**, but still below the ideal benchmark of 2. The negative working capital in earlier years underscores ATGL's reliance on supplier credit and efficient cash conversion cycles to fund growth. While the trend shows gradual improvement, liquidity remains tight, requiring continued focus on receivables management and short-term funding optimization.

Liquidity Ratio

Liquidity Ratio	Mar'18	Mar'19	Mar'20	Mar'21	Mar'22	Mar'23	Mar'24	Mar'25
CURRENT RATIO = Current Assets/Current Liability	1.79	1.37	0.94	0.28	0.25	0.39	0.57	0.73
QUICK RATIO = Quick Asset/Current Liability	1.67	1.28	0.87	0.21	0.19	0.35	0.52	0.65
ABSOLUTE LIQUID RATIO= CASH+BANK+CI+MS/Current Liability	0.25	0.33	0.15	0.01	0.02	0.17	0.25	0.32

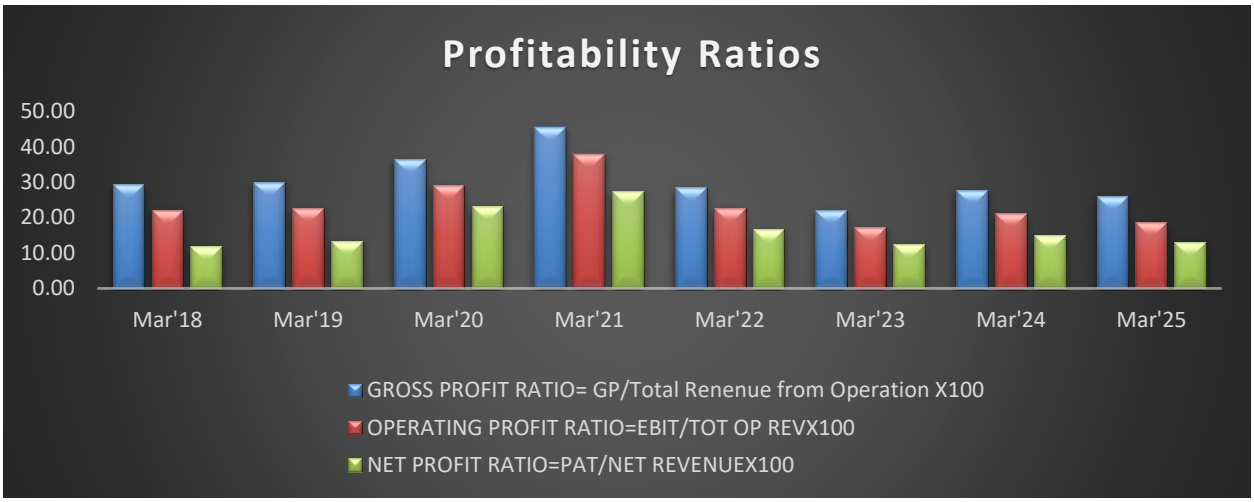


Liquidity: Current Ratio, Quick Ratio

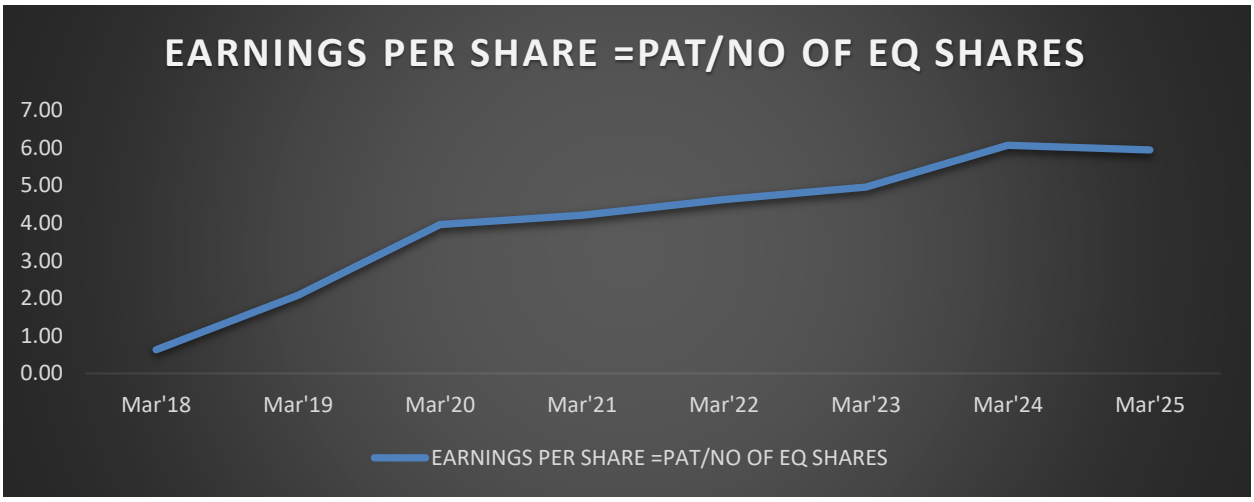
- Current Ratio improved from 0.28 (FY21) to 0.73 (FY25), indicating better short-term solvency, though still below ideal benchmarks.
- Quick Ratio shows similar improvement, supported by higher cash and receivables.
- Liquidity improved but remains below ideal benchmarks.

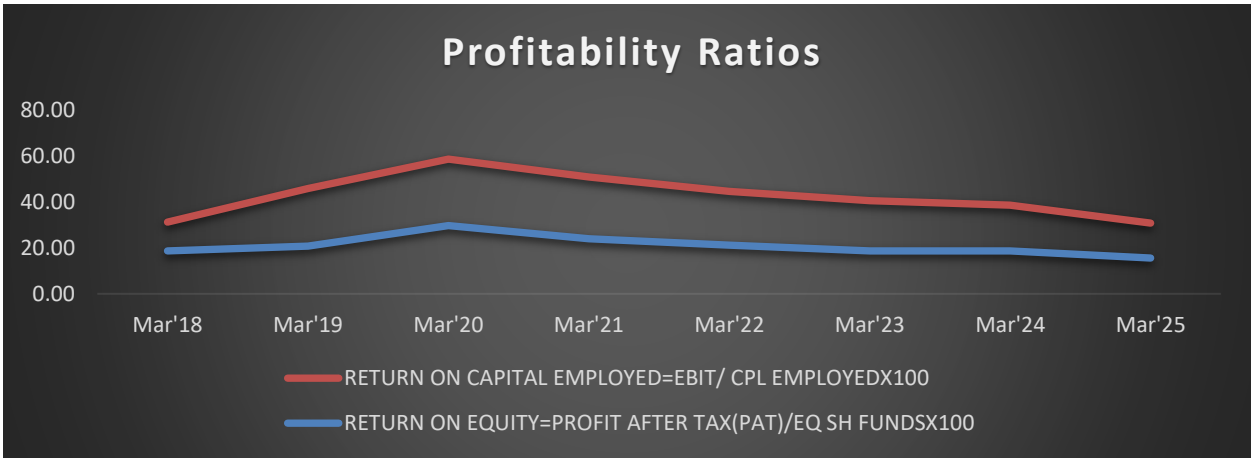
Profitability Ratios

Profitability Ratios	Mar'18	Mar'19	Mar'20	Mar'21	Mar'22	Mar'23	Mar'24	Mar'25
GROSS PROFIT RATIO= GP/Total Renenue from Operation X100	29.32	29.97	36.57	45.50	28.44	22.00	27.81	25.94
OPERATING PROFIT RATIO=EBIT/TOT OP REVX100	22.12	22.55	29.03	37.82	22.72	17.29	21.14	18.58
NET PROFIT RATIO=PAT/NET REVENUEX100	11.79	13.32	23.25	27.30	16.75	12.47	14.93	13.08
EARNINGS PER SHARE =PAT/NO OF EQ SHARES	0.63	2.08	3.96	4.21	4.63	4.96	6.07	5.95
RETURN ON EQUITY=PROFIT AFTER TAX(PAT)/EQ SH FUNDSX100	18.64	20.78	29.64	23.94	21.07	18.57	18.66	15.55
RETURN ON CAPITAL EMPLOYED=EBIT/ CPL EMPLOYEDX100	12.47	24.92	28.88	26.77	23.39	21.93	19.79	15.16



- Net Profit Margin stabilized near 13% in FY25 after peaking in FY21, reflecting disciplined pricing amidst input cost variability. ROE softened to ~15.5% as equity base expanded, signaling reinvestment for growth.



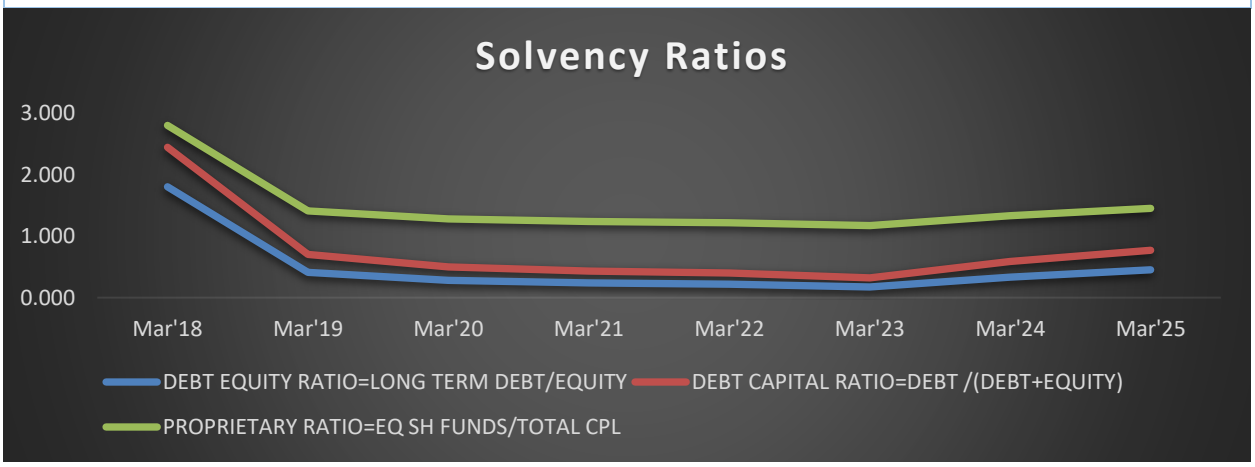


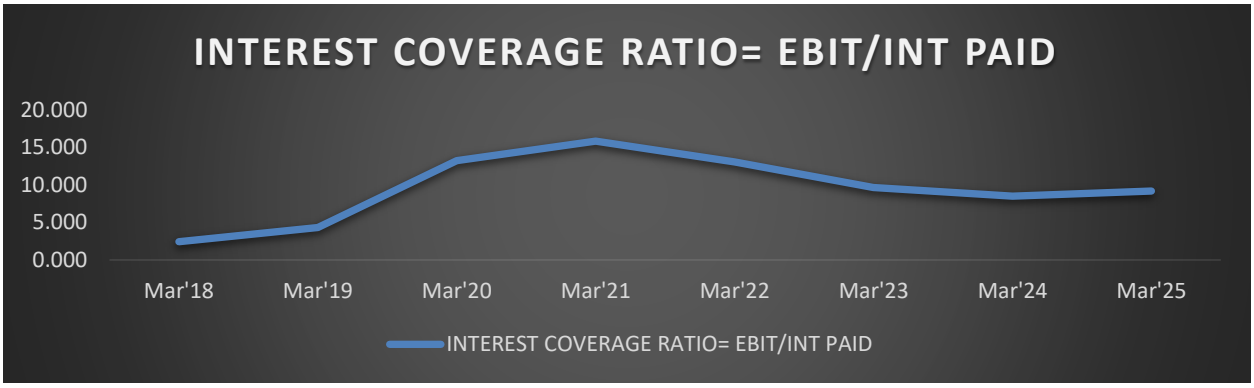
Profitability: Net Profit Margin, ROE

- NPM stabilized near 13% in FY25; ROE softened to ~15.5% as equity base expanded.

Solvency Ratios

Solvency Ratios	Mar'18	Mar'19	Mar'20	Mar'21	Mar'22	Mar'23	Mar'24	Mar'25
DEBT EQUITY RATIO=LONG TERM DEBT/EQUITY	1.806	0.412	0.281	0.239	0.221	0.174	0.335	0.456
DEBT CAPITAL RATIO=DEBT /(DEBT+EQUITY)	0.644	0.292	0.220	0.193	0.181	0.148	0.251	0.313
INTEREST COVERAGE RATIO= EBIT/INT PAID	2.432	4.315	13.259	15.847	13.091	9.652	8.523	9.198
PROPRIETARY RATIO=EQ SH FUNDS/TOTAL CPL	0.356	0.708	0.780	0.807	0.819	0.852	0.749	0.687



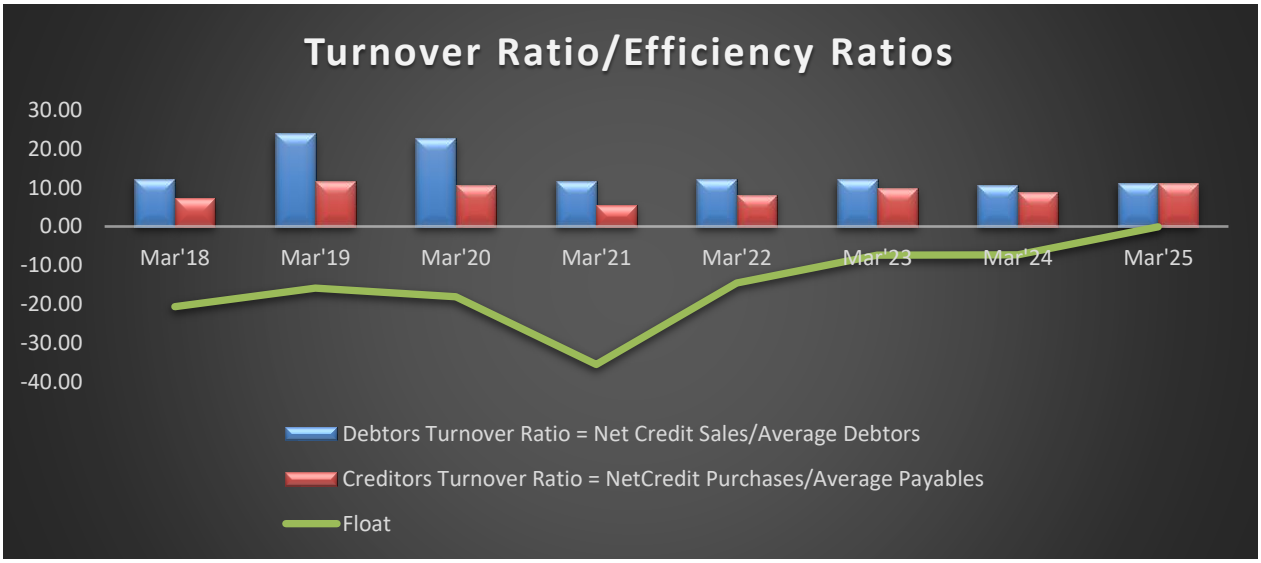


Leverage: Debt-to-Equity

- D/E rose to 0.46 in FY25, reflecting capex for CGD and EV infrastructure.
- interest coverage remains strong at ~9.2×, indicating healthy debt servicing capacity.
- Leverage increased moderately; interest coverage strong.
- **Credit Rating:** Long-Term – AA+ (Stable) by **ICRA, CARE, and CRISIL**; Short-Term – A1+ by ICRA & CARE

Turnover Ratio/Efficiency Ratios

Turnover Ratio/Efficiency Ratios	Mar'18	Mar'19	Mar'20	Mar'21	Mar'22	Mar'23	Mar'24	Mar'25
Debtors Turnover Ratio = Net Credit Sales/Average Debtors	12.28	23.88	22.70	11.66	12.08	12.06	10.73	11.12
Creditors Turnover Ratio = NetCredit Purchases/Average Payables	7.24	11.71	10.68	5.46	8.16	9.69	8.84	11.10
Float	-20.68	-15.89	-18.11	-35.53	-14.51	-7.41	-7.26	-0.08
Inventory Turnover Ratio = COGS/Average Inventory at Cost	22.55	28.24	25.49	14.35	25.92	35.92	30.03	33.36
Working Capital Turnover Ratio = COGS/Net Working Capital	3.38	6.61	-36.04	-1.58	-1.97	-2.56	-4.15	-8.88
Fixed Asset Turnover Ratio = Revenue from operations/Net Fixed Assets	1.38	1.47	1.22	0.82	1.05	1.11	0.96	0.91

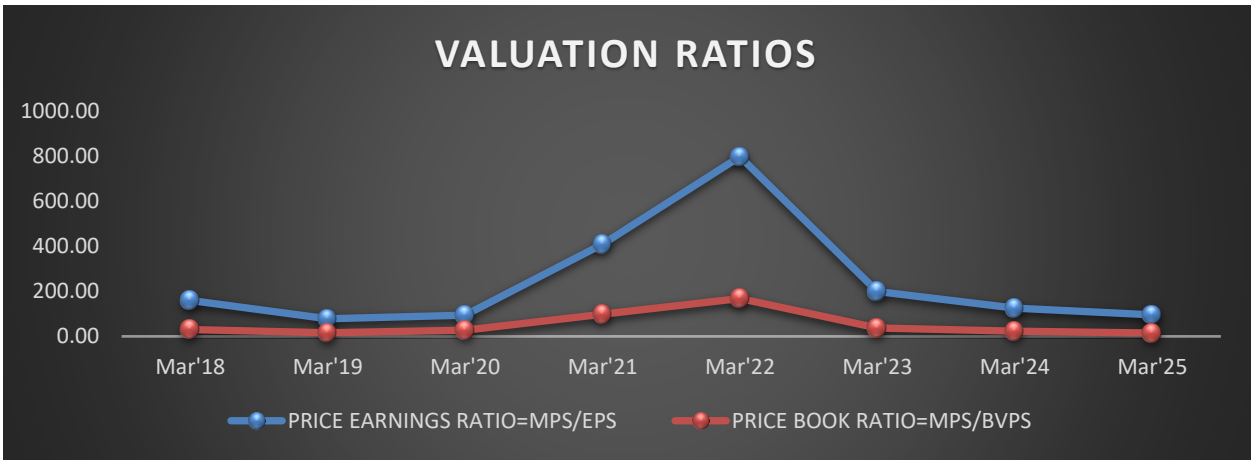


Coverage: Interest Coverage

- Interest coverage remains strong at ~9.2×, indicating healthy debt servicing capacity.

Valuation Ratios

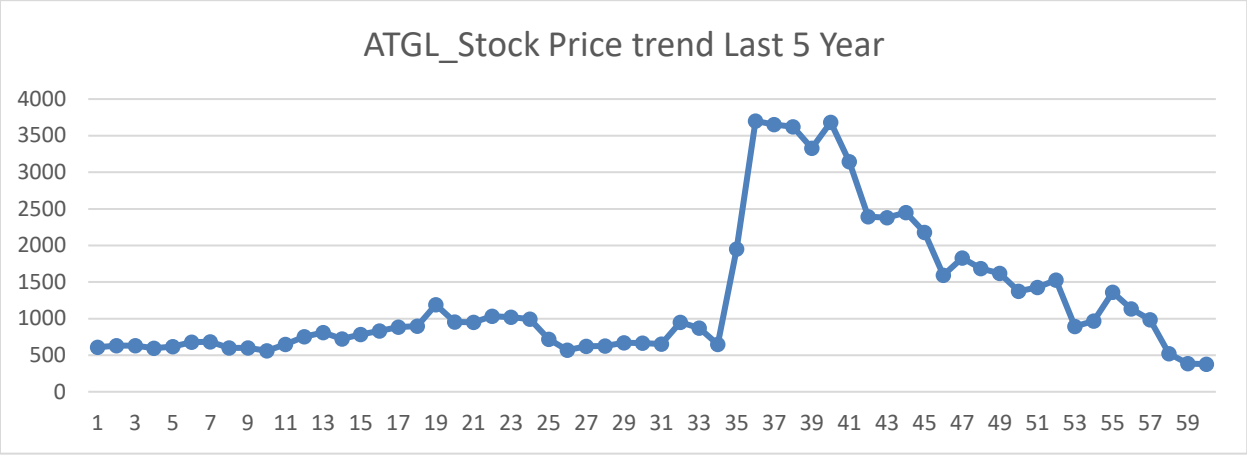
VALUATION RATIOS	Mar'18	Mar'19	Mar'20	Mar'21	Mar'22	Mar'23	Mar'24	Mar'25
PRICE EARNINGS RATIO=MPS/EPS	159.91	78.15	94.76	409.07	798.06	199.04	125.32	95.32
PRICE BOOK RATIO=MPS/BVPS	29.81	16.24	28.09	97.93	168.13	36.95	23.38	14.82



- ATGL's valuation ratios reflect a transition from speculative highs to more earnings-driven pricing. The Price-to-Earnings (PE) ratio peaked at ~798× in FY22 amid sector optimism and aggressive CGD expansion, before normalizing to ~95× in FY25 as earnings growth caught up with market expectations.
- Similarly, the Price-to-Book (PB) ratio declined sharply from 168× in FY22 to ~15× in FY25, indicating moderation in investor exuberance and a shift toward fundamentals. These trends suggest that while ATGL continues to trade at a premium relative to peers, the valuation is increasingly anchored in operational performance rather than pure growth sentiment. For long-term investors, this normalization signals a healthier balance between growth prospects and risk-adjusted returns.
- Valuation ratios normalized from speculative highs to fundamentals.
- "Note: The extreme PE and PB multiples in FY22 were driven by sector-wide optimism following PNGRB's aggressive GA bidding rounds and clean energy policy announcements. These valuations corrected as earnings caught up and global LNG prices normalized."

ATGL Stock Price trend for 5 years – Monthly trend analysis

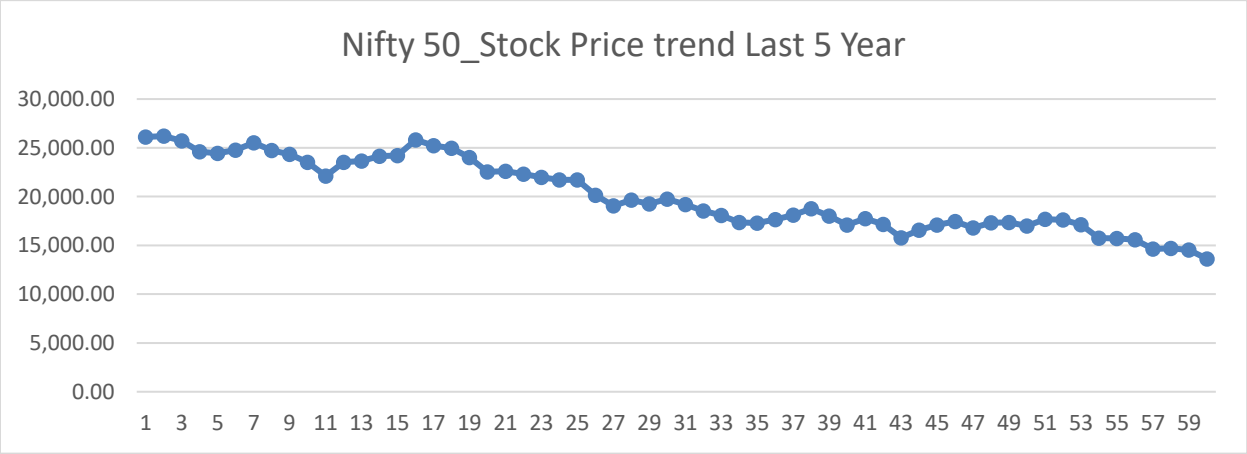
From Jan – 2021 to Jan – 2025



- ATGL's stock price surged from ₹100 in FY18 to ₹3,692 in FY22, driven by aggressive CGD expansion and clean energy tailwinds, before correcting to ₹566 by FY25 amid LNG price volatility and regulatory adjustments.
- The trajectory underscores high beta and cyclical sensitivity.

Nifty 50 Stock Price trend for 5 years – Monthly trend analysis

From Jan – 2021 to Jan – 2025



- Nifty 50 advanced steadily from ~13,600 in FY21 to ~26,000 by FY25, reflecting broad-based economic recovery and liquidity support. Compared to Nifty, ATGL exhibited outsized volatility, reinforcing its high-risk, high-reward profile.

Dividend Trend

Ex-Dividend Date	Dividend	Type	Payment Date	Yield
Jun 13, 2025	0.25	12M	Jul 25, 2025	0.04%
Jun 14, 2024	0.25	12M	Jul 25, 2024	0.03%
Jul 07, 2023	0.25	12M	Aug 17, 2023	0.04%
Jul 14, 2022	0.25	12M	Aug 25, 2022	0.01%
Jun 24, 2021	0.25	12M	Aug 11, 2021	0.02%
Mar 26, 2020	0.25	I	Apr 18, 2020	0.59%
Jul 26, 2019	0.25	12M	Sep 05, 2019	0.16%

- Dividend payouts have remained constant at ₹0.25 per share since FY21, with yields hovering around 0.03–0.04%.
- This signals ATGL's growth-first capital allocation strategy, prioritizing CGD, EV, and CBG investments over shareholder cash returns.

India 10 Year government Bond

Price and Volume analysis

Date	Price	Volume (Million)
12.01.2025	566.7	8510000
11.01.2025	606.65	9690000
10.01.2025	631.6	25150000
09.01.2025	625.3	97480000
08.01.2025	591.1	13650000
07.01.2025	604.1	12980000
06.01.2025	675.75	38140000
05.01.2025	683.75	40220000
04.01.2025	600.2	15130000
03.01.2025	602.6	25540000
02.01.2025	557.15	13700000
01.01.2025	643.1	35320000

Date	Price	Volume (Million)
12.01.2024	761.05	37420000
11.01.2024	812.35	73230000
10.01.2024	718.35	14430000
09.01.2024	786.5	28750000
08.01.2024	830.35	82290000
07.01.2024	895.55	45980000
06.01.2024	896	50780000
05.01.2024	1039.3	45820000
04.01.2024	929.1	26690000
03.01.2024	926.55	59830000
02.01.2024	1025.65	75130000
01.01.2024	1012.35	59320000

Date	Price	Volume (Million)
12.01.2023	987.95	147010000
11.01.2023	708.8	41740000
10.01.2023	564.3	20850000
09.01.2023	613.25	11520000
08.01.2023	635.8	17620000
07.01.2023	663.7	14970000
06.01.2023	654.6	45130000
05.01.2023	664.15	80520000
04.01.2023	945	14500000
03.01.2023	867.75	53410000
02.01.2023	678.55	14930000
01.01.2023	2108.2	11390000

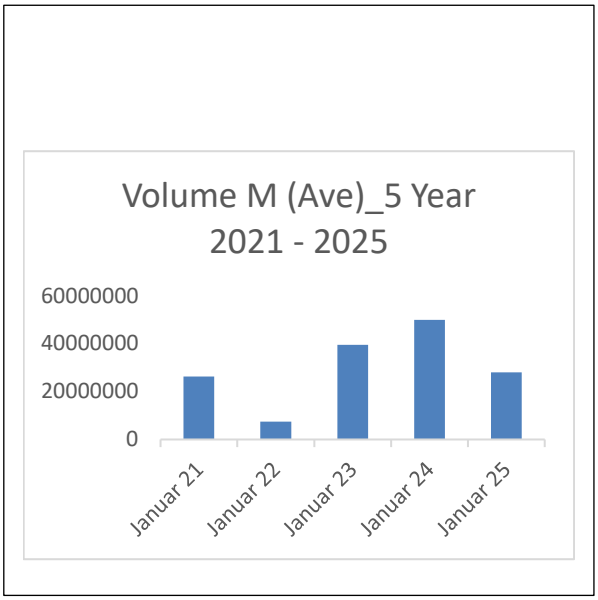
Date	Price	Volume (Million)
12.01.2022	3692.85	7010000
11.01.2022	3632.75	5960000
10.01.2022	3602.85	6480000
09.01.2022	3339.85	9390000
08.01.2022	3744.95	9980000
07.01.2022	3127.2	9510000
06.01.2022	2392.9	11700000
05.01.2022	2397.9	8870000
04.01.2022	2450.95	7290000
03.01.2022	2149.8	5680000
02.01.2022	1588.5	3520000
01.01.2022	1821.25	3910000

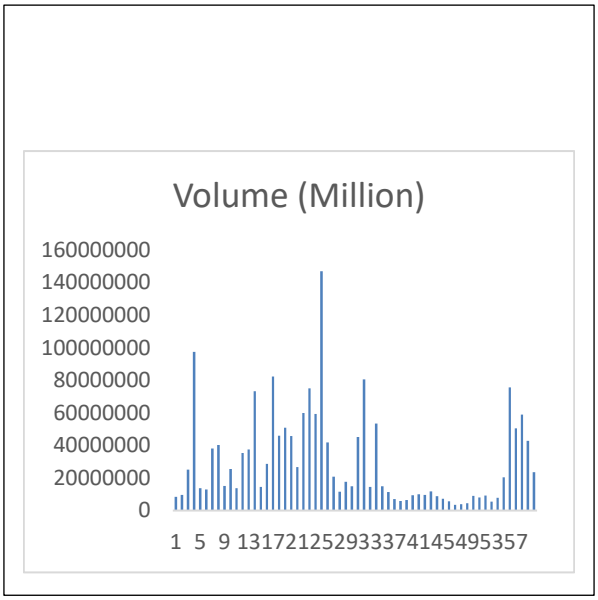
Date	Price	Volume (Million)
12.01.2021	1721.8	4450000
11.01.2021	1599.85	8940000
10.01.2021	1439.45	8030000
09.01.2021	1423.15	9250000
08.01.2021	1452.5	5530000
07.01.2021	892.55	7750000
06.01.2021	1019.85	20360000
05.01.2021	1348.85	75610000
04.01.2021	1150.75	50400000
03.01.2021	961.25	58840000
02.01.2021	512.2	42810000
01.01.2021	381.05	23510000

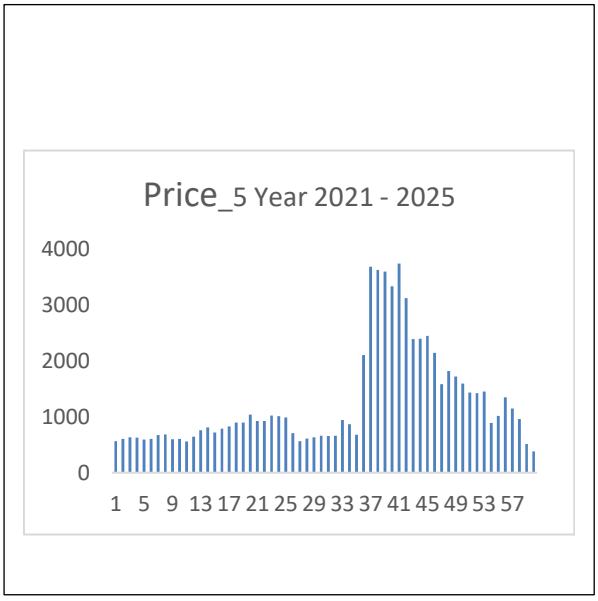
Yearly Price and Volume (average)

Year	Price (Ave)	Volume M (Ave)
2025	615.6667	27959166.67
2024	886.0917	49972500
2023	841.0042	39465833.33
2022	2828.479	7441666.667
2021	1158.604	26290000

Stock Price and Volume analysis







- Price trends show sharp volatility during FY22–FY23, with volume spikes aligning with major sector announcements and index movements.
- High trading activity during price swings reflects strong market sensitivity to regulatory and allocation news.
- Monthly returns fluctuate widely around the expected return (~0.67%), with volatility ($\sigma \approx$ 23.6%) confirming ATGL's high-risk profile.
- This variability drives a CAPM cost of equity near 25%, impacting valuation models.

5 Year

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.413212
R Square	0.170744
Adjusted R Square	0.156196
Standard Error	0.218586
Observations	59

ANOVA

	df	*SS*	*MS*	*F*	*Significance F*
Regression	1	0.560762	0.560762	11.73634	0.001143
Residual	57	2.723457	0.04778		
Total	58	3.284219			

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	-0.01405	0.028804	-0.48783	0.627542	-0.07173	0.0436276	-0.07173	0.043628
Beta	**2.771632**	0.809038	3.425835	0.001143	1.151561	4.3917036	1.151561	4.391704

3 Year

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.384329
R Square	0.147709
Adjusted R Square	0.122641
Standard Error	0.226321
Observations	36

ANOVA

	df	*SS*	*MS*	*F*	*Significance F*
Regression	1	0.301819	0.301819	5.892455	0.020653
Residual	34	1.741521	0.051221		
Total	35	2.043339			

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	-0.07098	0.038122	-1.86186	0.071285	-0.14845	0.006495	-0.14845	0.006495
Beta	2.867056	1.181104	2.427438	0.020653	0.466764	5.267347	0.466764	5.267347

DDM and CAPM analysis

DDM	
Label	**Value**
Latest Dividend (D_0)	0.25
Growth Rate (g)	0
Next Dividend (D_1)	0.25
Required Return (k_e)	24.93%
DDM Valuation: Price (P_0)	1.00

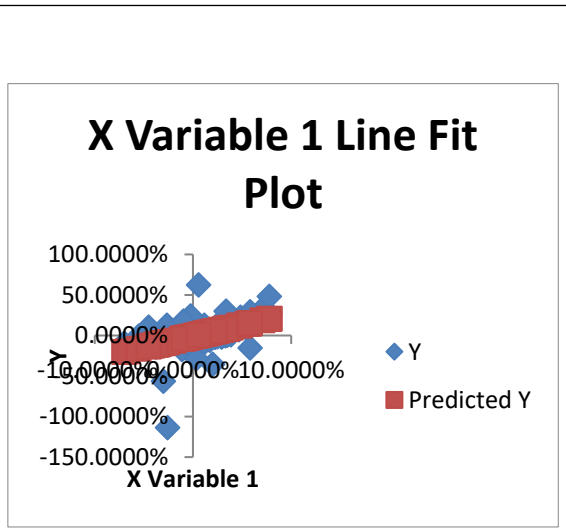
CAPM	
Monthly Rm (avg)	**0.011024713**
Monthly Rm (avg)	1.10%
Annual Rm	13.23%
Monthly Rf	0.55%
Annual Rf	6.62%
Beta	2.772
ke (annual CAPM)	24.93%

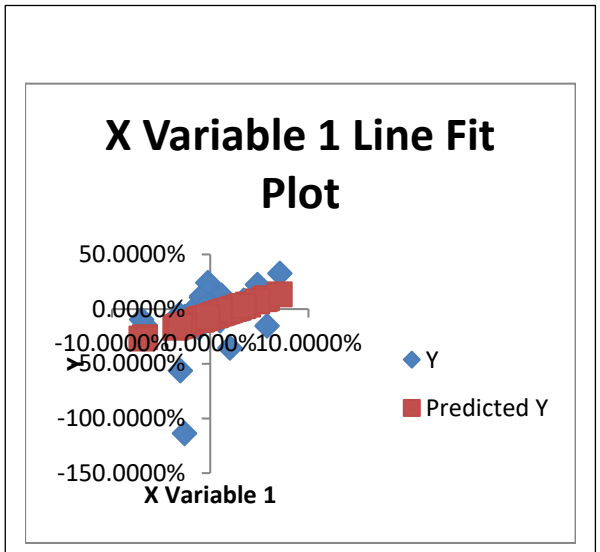
- DDM valuation (~₹1.00) is far below market price due to negligible dividends, confirming its unsuitability for growth-centric firms like ATGL. CAPM-based ke (~24.93%) reflects elevated risk premium from Beta > 2.7, influencing discount rates for FCFE or EV/EBITDA models.
- This high ke explains why dividend-based models undervalue ATGL and why cash-flow-based approaches are more appropriate.
- Beta > 2.7 drives high cost of equity (~25%), impacting valuation models.

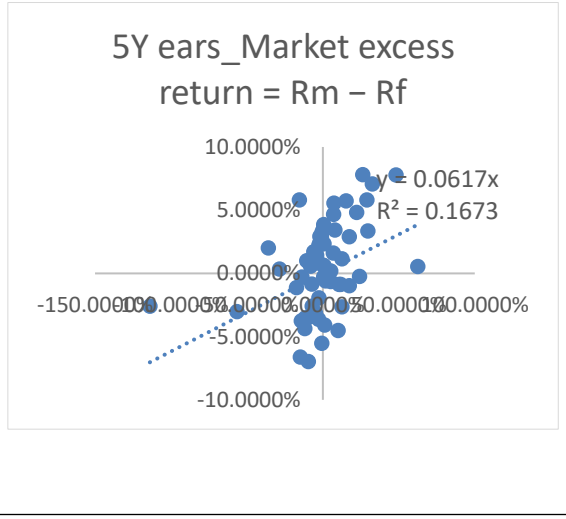
BETA - Beta Scatter Plots (3-year & 5-year) with regression table:

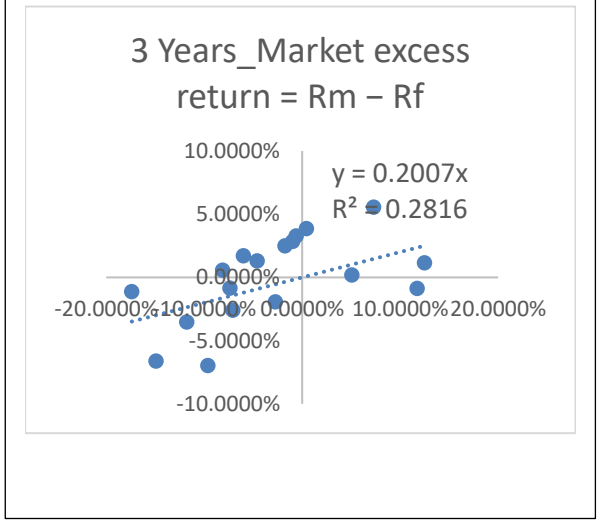
Horizon	Beta (β)	R^2	Intercept	Observations
3 Years	2.87	0.1471	−0.07098	36
5 Years	2.77	0.1707	−0.01405	59

- High Beta (>2.7) confirms strong market sensitivity; modest R^2 shows company-specific factors dominate volatility.
- Beta analysis across 3-year (2.87) and 5-year (2.77) horizons confirms ATGL's strong market sensitivity. High beta amplifies cost of equity and valuation challenges, while modest R^2 indicates company-specific factors (allocation, sourcing, regulation) remain key drivers.
- Beta > 2.7 drives high cost of equity (~25%), impacting valuation models.









Capital Structure & Dividend Policy

- ATGL's capital structure reflects a conservative yet growth-oriented approach. Debt-to-Equity ratio increased to 0.46 in FY25, driven by capex for CGD network expansion and EV/CBG adjacencies, while maintaining strong interest coverage (~9×).
- This leverage level supports growth without compromising financial stability. Dividend policy remains tokenistic, with ₹0.25 per share payouts and yields below 0.05%, signaling a clear preference for reinvestment over cash returns.
- While this aligns with long-term value creation through infrastructure build-out and diversification, it may not appeal to income-focused investors.
- For shareholders seeking capital appreciation, ATGL's strategy is consistent with its high-growth positioning in India's energy transition.

Industry & Market Trends:

India's CGD sector is poised for accelerated growth, with PNGRB authorizing over 295 GAs and government targets to raise natural gas's share in the energy mix from ~6% to 15% by 2030. Rising urbanization and clean energy mandates will sustain PNG and CNG demand, while EV adoption and biofuel policies introduce competitive dynamics. ATGL's adjacency strategy—EV charging, CBG production, and hydrogen blending—positions it ahead of peers, but execution speed and cost optimization will be critical. Management should prioritize:

- **Gas sourcing diversification** to mitigate LNG price volatility and allocation risks.
- **EV infrastructure densification** in high-traffic corridors to hedge against CNG cannibalization.
- **Hydrogen blending and CBG scale-up** to capture sustainability-linked incentives.
- **Digitalization and predictive maintenance** to enhance operational efficiency and customer experience. These actions will strengthen ATGL's competitive edge and align with India's decarbonization roadmap.

ATGL's growth-first strategy, adjacency investments, and strong execution position it well for India's energy transition. While high beta and LNG volatility pose risks, diversified sourcing and EV/CBG platforms provide resilience, making ATGL a long-term play for capital appreciation rather than income.

Academic Declarations

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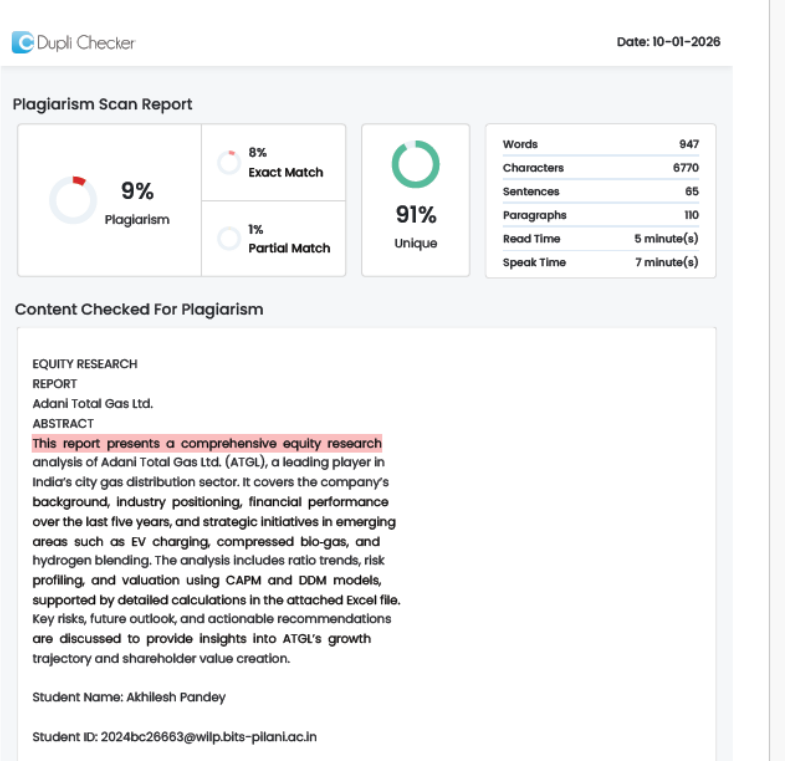

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EQUITY RESEARCH
REPORT
Adani Total Gas Ltd.
ABSTRACT
This report presents a comprehensive equity research analysis of Adani Total Gas Ltd. (ATGL), a leading player in India's city gas distribution sector. It covers the company's background, industry positioning, financial performance over the last five years, and strategic initiatives in emerging areas such as EV charging, compressed bio-gas, and hydrogen blending. The analysis includes ratio trends, risk profiling, and valuation using CAPM and DDM models, supported by detailed calculations in the attached Excel file. Key risks, future outlook, and actionable recommendations are discussed to provide insights into ATGL's growth trajectory and shareholder value creation.

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